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Secure Distribution Venture Pvt. Ltd.

What Is Working Capital Demand Loan (WCDL) ?

Developed by www.loanbazaaronline.com

A Comprehensive Reference Manual & Training Handbook
For Commercial Credit Officers, Promoters, and Underwriters

Table of Contents

Module	Page No.
Module 1: Theoretical Foundations and Product Philosophy of WCDL	3
Module 2: Structural Taxonomy and Comparative Analysis (The Credit Matrix)	4
Module 3: The End-to-End Operational Lifecycle of WCDL	5
Module 4: Transactional Credit Underwriting & Key Risk Metrics	7
Module 5: Legal Framework, Security Creation, and Documentation	9
Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment	10
Module 7: Commercial Pricing Mechanics and Financial Models	12
Module 8: Regulatory Compliance, RBI Guidelines, and IRACP Norms	13
Module 9: Comprehensive Real-World Case Study (Mumbai Engineering & Steel Pvt. Ltd.)	15
Module 10: 10-Question Professional Certification Examination	17

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Module 1: Theoretical Foundations and Product Philosophy of WCDL

Introduction to Working Capital Demand Loan (WCDL)

In the corporate credit landscape of India, managing the short-term cash conversion cycle (CCC) is one of the most critical challenges faced by Chief Financial Officers (CFOs) and promoters alike. While traditional fund-based credit structures like Cash Credit (CC) have historically dominated the market, they often suffer from structural inefficiencies, perpetual debit balances, and a lack of transaction-specific monitoring.

To address these limitations and enforce financial discipline among large borrowers, the Reserve Bank of India (RBI) introduced the **Loan System for Delivery of Bank Credit**. At the heart of this system lies the **Working Capital Demand Loan (WCDL)**, a highly structured, fund-based, transaction-linked short-term loan facility that provides callable liquidity to businesses on an “on-demand” basis.

The Philosophy of Transaction-Backed Short-Term Credit

Unlike a Cash Credit (CC) limit, which operates as a revolving, perpetual line of credit where funds are drawn down and repaid continuously without fixed maturities, a WCDL is structured with a defined maturity (typically ranging from 7 to 180 days). Each drawdown under a WCDL is treated as a distinct tranche with a specific end-use, locked bullet maturity, and fixed or floating interest rate.

The philosophy of WCDL centers on mapping credit directly to the **Operating Cash Cycle** (also known as the Cash-to-Cash Cycle):

Lenders utilize WCDL to finance specific, self-liquidating trade cycles—such as raw material imports, seasonal inventory build-ups, or trade receivable gaps. By locking the maturity of each tranche to the expected date of inventory liquidation or invoice payment, the bank ensures that credit is used strictly for productive operations and is repaid directly from the business’s natural cash inflows, minimizing the risk of capital diversion.

Why Lenders Prefer WCDL Over Traditional Cash Credit

From a credit risk management perspective, WCDL offers several distinct advantages over a standard Cash Credit line: 1. **End-Use Control:** Funds from WCDL drawdowns are disbursed in tranches and are typically transferred directly to the borrower’s vendors via RTGS/NEFT based on verified purchase orders or proforma invoices. This prevents the “diversion of funds” to non-productive assets or sister concerns. 2. **Callable Nature:** As a “Demand Loan,” the bank retains the unconditional legal right to call back the entire outstanding principal and accrued interest at short notice (often 24 to 48 hours) if the borrower’s credit profile deteriorates or a default covenant is breached. 3. **Structured Amortization:** Since each tranche has a fixed bullet maturity, the borrower must arrange for full liquidation on the due date. This prevents the “evergreening” of debt and ensures that the bank’s credit portfolio remains highly liquid and aligned with actual economic activity.

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Module 2: Structural Taxonomy and Comparative Analysis (The Credit Matrix)

To understand where WCDL fits in the working capital toolkit, we must compare it against other prevalent short-term debt instruments in India. The table below provides a comprehensive credit analysis of WCDL versus Cash Credit (CC), Working Capital Term Loans (WCTL), Overdraft (OD) Facilities, and Invoice Discounting.

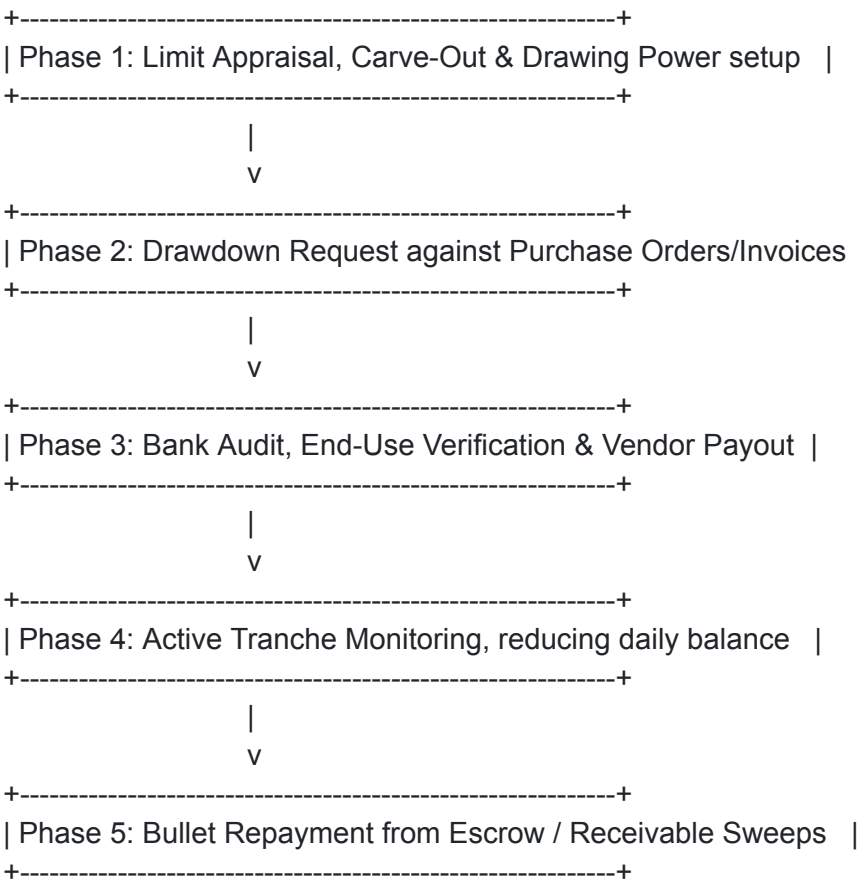
THE CREDIT MATRIX: COMPARATIVE ANALYSIS OF WORKING CAPITAL DEMAND LOANS (WCDL) AND OTHER SHORT-TERM INSTRUMENTS

CRITERIA	WCDL (Working Capital Demand Loan)	CASH CREDIT (CC)	WORKING CAPITAL TERM LOAN (WCTL)	OVERDRAFT (OD) FACILITY	INVOICE DISCOUNTING
Primary Purpose:	Specific transaction/tranche-based trade	Cash credit is tranch based trade	Working capital demandloan	Overdraft Innocing/loan	Invoice discounting consent
Usage:	Fixed tranche with defined tenure	Fixed tranche with defined tenure	Fixed tranche with defined tenure	Fixed tranche with defined tenure	Fixed tranche with defined tenure
Repayment:	Bullet repayment	Bullet repayment	Bullet repayment	Pilxed repayment	Bullet repayment
Interest Rate:	Fixed for tenure, often lower spread	Fixed for tenure, lower spread	Fixed for tenure, often lower spread	Fixed for tenure, often lower spread	Fixed for tenure, often lower spread
Security:	Hypothecation of current assets + specific tranche lien	Hypothecation of current assets + specific tranche lien	Hypothecation of current assets + tranche lien	Hypothecation of current assets + tranche lien	Hypothecation of current tranche lien
Roll-Over:	Possible with fresh evaluation per tranche	Possible with fresh evaluation per tranche	Possible with fresh evaluation	Possible with fresh evaluation	Possible with fresh
Drawdown:	Disbursed at once per tranche	Disbursed at once tranche	Disbursed at once per tranche	Disbursed at once per tranche	Disbursed at once per tranche

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Module 3: The End-to-End Operational Lifecycle of WCDL

The operational lifecycle of a WCDL is highly structured, ensuring that every rupee disbursed is tracked, monitored, and recovered in accordance with credit guidelines.



Phase 1: Limit Appraisal & Limit Carve-Out

Before any disbursement occurs, the bank conducts a comprehensive credit appraisal of the corporate borrower to establish an overall fund-based working capital limit. To optimize borrowing costs and comply with RBI mandates, banks frequently structure the credit facility as a joint limit where the borrower can “carve out” WCDL tranches from their overall Cash Credit (CC) limit.

For example, a borrower with a sanctioned CC limit of ₹10,00,00,000 (₹10 Crores) may be permitted a WCDL sub-limit of ₹7,00,00,000 (₹7 Crores). When the borrower draws down a WCDL tranche of ₹3 Crores, their available drawing power under the standard CC line is instantly reduced by ₹3 Crores, maintaining a strict aggregate exposure cap.

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Phase 2: Drawdown Request and Credit Validation

To initiate a drawdown, the borrower submits a formal **Tranche Drawdown Request (TDR)** to the bank's relationship manager. This request must be accompanied by verified commercial documents, such as: * Confirmed purchase orders (POs) from customers or proforma invoices from raw material suppliers. * Inventory stock statements and age-wise debtor reports proving sufficient **Drawing Power (DP)**. * GSTR-1 and GSTR-3B filings demonstrating active, legitimate sales velocity.

The bank's credit operations team reviews the document package to ensure that the requested tranche's tenure (e.g., 90 days) matches the actual trade cycle.

Phase 3: Disbursement and direct Vendor Payout

Once validated, the bank approves the tranche. To eliminate the risk of fund diversion, the bank does not credit the funds to the borrower's general operating current account. Instead, the bank executes a **direct vendor payment** by wire-transferring the approved tranche amount directly to the supplier's bank account via RTGS/NEFT. The tranche is booked under a unique loan account number with a locked interest rate and a hard due date.

Phase 4: Tranche Monitoring and Rollover Controls

During the active life of the tranche, the bank monitors the borrower's transactional velocity and current asset coverage. In India, WCDLs cannot be automatically rolled over. If a borrower wishes to renew a maturing tranche, they must demonstrate that the underlying trade cycle has been delayed due to genuine commercial reasons. Any unauthorized rollover or failure to repay a tranche on its due date immediately triggers default interest penalties (typically 2.00% p.a. over the contract rate) and starts the regulatory delinquency clock.

Phase 5: Bullet Repayment and Escrow Sweep

On the tranche's due date, the borrower is obligated to execute a **bullet repayment** consisting of the entire principal and accrued interest. Repayment is typically facilitated through a designated **Escrow or Cash Collateral Account** managed by the bank. When the borrower's corporate customers pay their outstanding invoices, those cash inflows are routed directly into the escrow account, where the bank executes an automated sweep to liquidate the active WCDL tranches.

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Module 4: Transactional Credit Underwriting & Key Risk Metrics

Underwriting a Working Capital Demand Loan requires a shift from traditional, asset-heavy collateral evaluations to highly dynamic cash flow analysis. Because WCDL is a short-term, self-liquidating facility, the primary underwriting objective is to verify that the borrower's operating cycle will generate sufficient cash flow to cover the bullet repayment on maturity.

Method 1: The Tandon Committee's Second Method of Lending

For larger corporate borrowers with working capital requirements exceeding ₹10 Crores, Indian banks utilize the **Tandon Committee's Second Method of Lending** to calculate the **Maximum Permissible Bank Finance (MPBF)**:

This method requires that the borrower contribute at least **25% of their total current assets** from long-term, non-bank sources (such as equity or retained earnings), ensuring a minimum **Current Ratio of 1.33:1** as a margin of safety.

Method 2: The Projected Turnover Method (PTM / Nayak Committee)

For small and medium enterprises (SMEs) with aggregate working capital limits up to ₹5 Crores, underwriters apply the simpler **Projected Turnover Method**: * The borrower's total working capital requirement is estimated at **25% of their projected annual turnover**. * The promoters must contribute at least **5% of the projected turnover** as equity margin (Net Working Capital). * The bank funds the remaining **20% of the projected turnover** as the sanctioned working capital limit (which can be structured as CC/WCDL).

Method 3: The Cash Budget Method (CBM)

For highly seasonal businesses (such as sugar mills, tea plantations, or fertilizer manufacturers) or EPC infrastructure contracting firms where cash flows are highly erratic, underwriters rely on the **Cash Budget Method**. The borrower submits a detailed month-by-month cash flow projection. The bank assesses the peak deficit month and structures the WCDL limit to cover that specific peak deficit, with tranches disbursed and recovered in strict alignment with seasonal cash inflows.

Underwriting Scorecard & Verification Metrics

To minimize credit risk, bank underwriters evaluate several quantitative and qualitative metrics:

Promoter Personal CIBIL Score: Must be **greater than 700**. A lower score indicates personal credit delinquency, representing a high risk of corporate governance failures.

CIBIL MSME Rank (CMR): Must be within the low-risk range of **CMR 1 to CMR 4**. High-risk ranks (CMR 8 to 10) indicate a high probability of technical default or restructuring.

Interest Coverage Ratio (ICR): Calculated as Earnings Before Interest and Taxes (EBIT) divided by Interest Expenses:

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An ICR below 1.25x indicates that the business does not generate sufficient operational profitability to service its debt commitments. 4. **Bank Statement Analysis (Account Aggregator):** Underwriters utilize digital Account Aggregator platforms to audit the borrower's primary current accounts, looking for: * **Inward/Outward Cheque Bounces:** Must be zero. * **Overdraft Utilization:** Continuous utilization above 90% of the limit indicates severe cash flow strain. * **Diversion Signs:** Frequent round-trip transfers to sister concerns or promoter accounts. 5. **GSTN Portal Real-Time Validation:** real-time validation of GSTR-1 and GSTR-3B filings ensures that the business's declared sales match the invoices submitted for credit drawdown, eliminating invoice fabrication.

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Module 5: Legal Framework, Security Creation, and Documentation

A robust legal framework is essential to protect the bank's capital, enforce the "demand" nature of WCDL, and facilitate rapid recovery in the event of default.

Section 130 of the Transfer of Property Act, 1882

When a WCDL is backed by outstanding trade receivables, the bank secures an absolute legal assignment of those receivables under **Section 130 of the Transfer of Property Act, 1882**. This section governs the transfer of "actionable claims." By executing a Deed of Assignment, the borrower legally transfers the right to recover those debts to the bank.

Once assigned, the bank has the legal right to notify the borrower's corporate customers to remit all future payments directly into the bank's escrow account, completely bypassing the borrower's operations.

Charge Hypothecation and Security Agreements

WCDL limits are secured by a **first parri-passu charge** over all of the borrower's current assets (both existing and future), including: * Raw materials, work-in-progress (WIP), and finished goods stock. * Book debts and trade receivables. * Cash balances and fixed deposits in lien-marked accounts.

This charge is established via a **Hypothecation Agreement** and a **Demand Promissory Note (DPN)**. The DPN legally binds the borrower to repay the loan "on demand" and allows the bank to file summary recovery suits in civil courts or Debts Recovery Tribunals (DRT).

Registration of Security Charges (CERSAI and ROC)

To make the bank's charge legally enforceable against third-party creditors and liquidators, it must be registered with two key statutory registries:

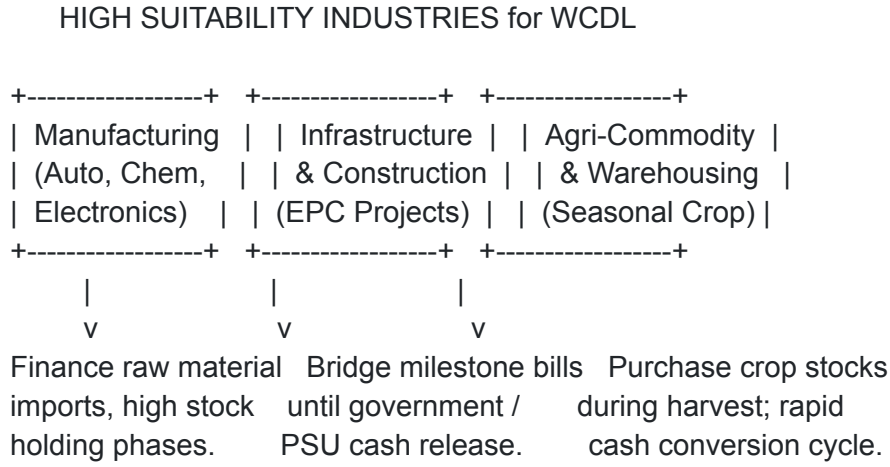
Registrar of Companies (ROC): Under Section 77 of the Companies Act, 2013, the corporate borrower must register the charge (Form CHG-1) with the ROC within **30 days** of limit creation. Failure to register renders the security charge void against any liquidator or secured creditor in the event of insolvency.

CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest of India): Registered within **30 days** under the SARFAESI Act, 2002. Under the **Factoring Regulation (Amendment) Act, 2021**, any assignment of trade receivables or factoring transactions must be registered on CERSAI within a strict statutory window to establish clear priority of claims.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

WCDL is not a one-size-fits-all product; it is best suited for industries that exhibit highly distinct operating cycles, seasonal peaks, or clear invoice-backed payment milestones.



1. Manufacturing (Automotive, Chemicals, Consumer Durables)

Manufacturing entities often require substantial upfront capital to import raw materials or build inventory ahead of major festive sales seasons. A WCDL is ideal for these businesses because it allows them to draw down low-cost tranches to fund raw material procurement, and then liquidate the debt as finished goods are sold and cash is realized.

2. Infrastructure and EPC Contractors

Infrastructure companies executing projects for government bodies or PSUs often experience delayed billing cycles. They must spend substantial cash on labor, steel, and cement before raising a progressive milestone bill. WCDL provides the perfect “bridge” to fund mobilization and operational expenses during the execution phase, with tranches repaid as the PSU or government DDO releases payment.

3. Agri-Commodity Trading and Warehousing

Agri-commodity traders must purchase massive volumes of agricultural stock (such as wheat, cotton, or spices) during short harvest seasons when prices are low, and store them in warehouses for sale throughout the year. WCDL allows these traders to obtain high-volume, short-tenure credit to fund purchase campaigns, with tranches liquidated as warehouse stocks are systematically sold.

Market Alignment & Borrower Demographics

According to credit data from the **SIDBI MSME Pulse Report**, working capital credit is heavily concentrated among trading enterprises: * **Retail and Wholesale Traders represent the**

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largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. * The digital transition of Indian banking has led to massive supply chain programs. For instance, the **State Bank of India (SBI)** manages enormous digital supply chain portfolios: * **SBI e-DFS (Electronic Dealer Financing Scheme):** Active portfolio of **₹49,261 Crores**, supporting automobile and durables dealers. * **SBI e-VFS (Electronic Vendor Financing Scheme):** Active portfolio of **₹28,092 Crores**, supporting vendors of major corporate anchors.

These digital programs leverage the corporate anchor's credit rating to provide highly automated WCDL and receivable discounting tranches to unrated dealers and MSMEs, driving immense liquidity into India's commercial hubs.

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Module 7: Commercial Pricing Mechanics and Financial Models

The commercial pricing of a WCDL is highly competitive, especially when structured as a carve-out from a standard Cash Credit line.

Pricing Benchmarks & Spreads

In India, WCDL interest rates are benchmarked against standard bank lending rates: 1. **EBLR (External Benchmark Linked Rate):** Tied directly to the RBI Repo Rate. Under RBI mandates, all loans to MSMEs must be benchmarked to an external rate, ensuring immediate transmission of monetary policy. 2. **MCLR (Marginal Cost of Funds Based Lending Rate):** Calculated based on the bank's incremental cost of funds. MCLR is typically used for larger, non-MSME corporate borrowers, with a credit spread added based on the borrower's risk rating.

For high-rated corporates (e.g., CRISIL AAA or AA), banks offer a highly competitive spread (e.g., EBLR + 50 bps or MCLR + 30 bps), resulting in a nominal borrowing rate of **8.50% to 9.50% p.a.**

Upfront Fees and GST Taxation Rules

Banks levy a processing fee ranging from **0.25% to 1.00%** of the sanctioned limit or individual tranche amounts. * **GST Treatment on Fees:** Under the Central Goods and Services Tax (CGST) Act, 2017, all banking service fees—including processing fees, loan documentation charges, and commitment charges—attract a standard **18% GST**. This GST is fully recoverable by the corporate borrower as an Input Tax Credit (ITC) if they are registered under the GSTN. * **GST Treatment on Interest:** Crucially, interest charges are completely **exempt from GST**. Under GST rules, the provision of credit or loans where the consideration is interest does not constitute a taxable supply of services.

Post-Tax Interest Tax Shield (Section 36(1)(iii))

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for the purpose of business or profession is a fully deductible business expense. This deduction creates an extremely powerful **Interest Tax Shield** that reduces the borrower's effective cost of debt:

For an Indian corporate with an effective tax rate of **25.17%** (including surcharges and cess under Section 115BAA), a nominal WCDL rate of **9.50% p.a.** results in an effective post-tax borrowing cost of:

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Module 8: Regulatory Compliance, RBI Guidelines, and IRACP Norms

Operating a WCDL program in India requires strict adherence to regulatory guidelines issued by the Reserve Bank of India. These guidelines are designed to prevent the diversion of credit, maintain bank asset quality, and ensure uniform risk classification.

The Loan System for Delivery of Bank Credit

To curb the perpetual reliance on revolving Cash Credit lines, the RBI issued the **Loan System for Delivery of Bank Credit** guidelines. These rules apply to all borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system: * Banks must split the fund-based working capital facility into a **"Loan Component"** and a **"Cash Credit Component."** * The **Loan Component**—which must be structured as a **Working Capital Demand Loan (WCDL)**—must represent at least **60%** of the total sanctioned fund-based working capital limit. * The remaining **40%** can be accessed as a standard, revolving **Cash Credit (CC)** line. * This mandate forces large corporates to plan their cash flows with high precision, as they must manage the fixed, bullet repayment of the 60% WCDL component rather than continuously rolling over a single Cash Credit line.

RBI IRACP Asset Classification Guidelines

WCDLs are subject to the RBI's strict **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**. Under these rules, banks must monitor and classify account stress on a continuous, daily basis.

1. Special Mention Account (SMA) Classification

If a borrower fails to pay the principal or interest of a WCDL tranche on its scheduled due date, the account is instantly flagged as a Special Mention Account (SMA) based on the number of consecutive overdue days: * **SMA-0:** Principal or interest payment is overdue for **1 to 30 days**. * **SMA-1:** Principal or interest payment is overdue for **31 to 60 days**. * **SMA-2:** Principal or interest payment is overdue for **61 to 90 days**.

2. Non-Performing Asset (NPA) Downgrade

If any portion of the principal or interest under a WCDL remains outstanding for **more than 90 consecutive days**, the entire credit facility (including the CC line and any other loans from the same bank) is classified as a **Non-Performing Asset (NPA)** under the "Sub-Standard" category.

Furthermore, under the **"Out of Order"** guidelines: * A Cash Credit or Overdraft account is treated as "Out of Order" if the outstanding balance continuously exceeds the sanctioned limit or drawing power for 90 days, or if there are no credit deposits in the account for 90 days, or if the deposits are insufficient to cover the interest debited during the same period.

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3. Technical Review / Renewal Default NPA Trigger

WCDL limits are reviewed and renewed on an annual basis. Under the RBI's statutory directions, if a working capital limit is not formally reviewed or technically renewed within **180 days** from its scheduled due date, the entire facility is classified as an **NPA**, even if the borrower's accounts are currently regular. This rule prevents banks from delaying credit risk reviews of stressed accounts.

4. RBI Digital Lending Guidelines & Default Loss Guarantee (DLG) Cap

For digital WCDL programs operated by banks in partnership with Fintech platforms (Lending Service Providers - LSPs), the lending structure must comply with the **RBI Digital Lending Guidelines**: * All loan disbursements and repayments must flow directly between the bank's corporate bank account and the borrower's account—no third-party escrow or LSP pool accounts are permitted. * Any **Default Loss Guarantee (DLG)** or "First Loss Default Guarantee" (FLDG) arrangements provided by the fintech LSP to the bank to absorb credit losses is strictly capped at **5% of the total loan portfolio value**, protecting the banking system from unregulated credit risk transfer.

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Module 9: Comprehensive Real-World Case Study (Mumbai Engineering & Steel Pvt. Ltd.)

To understand the mathematical underwriting and commercial pricing of a WCDL, we analyze a real-world scenario of **Mumbai Engineering & Steel Private Limited (MESPL)**, a manufacturer of structural steel components.

MESPL Working Capital Scenario

MESPL Corporate Tax Rate: 25.17% (under Section 115BAA of the Income Tax Act).

Sanctioned Aggregate Working Capital Limit: ₹10,00,00,000 (₹10 Crores).

WCDL Sub-Limit (70% Carve-Out): ₹7,00,00,000 (₹7 Crores).

CC Sub-Limit (30% Component): ₹3,00,00,000 (₹3 Crores).

Nominal CC Interest Rate: 10.50% p.a. (reducing balance).

Nominal WCDL Interest Rate: 9.25% p.a. (reducing balance, due to superior transactional ring-fencing).

Upfront WCDL Processing Fee: 0.25% of the tranche amount.

The Trade Transaction

On October 1, 2026, MESPL secures a contract to supply ₹2,00,00,000 (₹2 Crores) of steel structures to a AAA corporate buyer, with payment terms of **90-day usance** backed by an accepted bill of exchange. * To manufacture the structures, MESPL must purchase raw iron ore and metallurgical coke from a supplier valued at **₹1,00,00,000 (₹1 Crore)**. * MESPL requests a **90-day WCDL tranche drawdown of ₹1,00,00,000** to fund the supplier purchase. * At the same time, MESPL is also considering drawing ₹1,00,00,000 from its standard Cash Credit (CC) line for the same 90 days. We compare the two borrowing pathways.

Pathway A: Drawing ₹1 Crore under standard Cash Credit (CC) Line

Nominal Interest Rate: 10.50% p.a.

Tenure: 90 Days.

Nominal 90-Day Interest Cost:

Upfront Processing Fee: ₹0 (CC has an annual renewal fee, but no tranche fees).

Corporate Tax Shield (25.17%):

Net Post-Tax Cost (Pathway A):

Pathway B: Drawing ₹1 Crore under structured WCDL Tranche

Nominal Interest Rate: 9.25% p.a.

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Tenure: 90 Days.

Nominal 90-Day Interest Cost:

Upfront WCDL Tranche Processing Fee (0.25%):

GST on Processing Fee (18%):

(Note: The ₹4,500 GST is paid upfront but is fully recovered as an Input Tax Credit, resulting in zero net cash cost to MESPL). * **Total Pre-Tax Expenses (Interest + Fee):**

Corporate Tax Shield (25.17%):

Net Post-Tax Cost (Pathway B):

Strategic Cost Comparison Matrix

The table below compiles the financial comparison between the Cash Credit and WCDL pathways:

Strategic Underwriting and Cash Flow Outcome

By utilizing Pathway B (WCDL): 1. **Direct Cash Benefit:** MESPL secures a direct interest rate savings of **125 basis points**, saving **₹30,821.92** in nominal interest expense on a single 90-day transaction cycle. 2. **Supplier Trust:** The bank pays the supplier directly on Day 1. This secure payment structure allows MESPL to negotiate a **1.50% cash discount** from the supplier, saving an additional **₹1,50,000** on procurement costs! 3. **Collateral Efficiency:** MESPL is able to utilize its drawing power on a transaction-specific basis, keeping the remaining portion of its CC line completely free to cover unexpected operational overheads.

On Day 90, the corporate customer remits the ₹2 Crore payment. Under the assignment clause, the customer pays directly into MESPL's bank-managed escrow account. The bank automatically sweeps **₹1,02,28,082.19** to liquidate the WCDL tranche (principal + interest) and releases the remaining ₹97,71,917.81 directly into MESPL's general operating account, completing the trade loop.

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Module 10: 10-Question Professional Certification Examination

This practice examination is designed to test a trainee's end-to-end understanding of Working Capital Demand Loans, underwriting criteria, statutory guidelines, and regulatory risk parameters in India.

Question 1

Under the Tandon Committee's Second Method of Lending, a corporate borrower has Total Current Assets (TCA) of ₹12,00,00,000 (₹12 Crores) and Current Liabilities Other than Bank Borrowings (OCL) of ₹4,00,00,000 (₹4 Crores). What is the Maximum Permissible Bank Finance (MPBF) and the required Net Working Capital (NWC) contribution? * A) MPBF = ₹9.0 Crores; NWC = ₹3.0 Crores * B) MPBF = ₹5.0 Crores; NWC = ₹3.0 Crores * C) MPBF = ₹6.0 Crores; NWC = ₹2.0 Crores * D) MPBF = ₹8.0 Crores; NWC = ₹4.0 Crores

Question 2

Under the RBI guidelines on the "Loan System for Delivery of Bank Credit", large corporate borrowers with aggregate fund-based working capital limits of ₹150 Crores and above must maintain a minimum "Loan Component" structured as a Working Capital Demand Loan (WCDL). What is this minimum WCDL percentage? * A) 40% of the working capital limit * B) 50% of the working capital limit * C) 60% of the working capital limit * D) 75% of the working capital limit

Question 3

If a borrower fails to repay a WCDL tranche on its scheduled 90-day maturity date, what is the asset classification of the account on the 45th overdue day? * A) Special Mention Account - Category 0 (SMA-0) * B) Special Mention Account - Category 1 (SMA-1) * C) Special Mention Account - Category 2 (SMA-2) * D) Non-Performing Asset (NPA) - Sub-Standard

Question 4

Under Section 36(1)(iii) of the Income Tax Act, 1961, what is the tax treatment of the interest paid on a WCDL tranche utilized for raw material procurement? * A) Interest is not tax-deductible and must be capitalized into the value of inventory. * B) Interest is fully tax-deductible as a business expense, creating an interest tax shield. * C) Only 50% of the interest is deductible if the borrower's CIBIL score is below 750. * D) Interest is subject to a flat 18% GST which is non-recoverable.

Question 5

Which statutory registry must a bank register a corporate borrower's hypothecation charge over inventory with to ensure its enforceability against liquidators under Section

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77 of the Companies Act, 2013? * A) Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within 10 days * B) Registrar of Companies (ROC) within 30 days of charge creation * C) Debts Recovery Tribunal (DRT) within 45 days * D) Reserve Bank of India (RBI) Credit Registry within 60 days

Question 6

A borrower draws down a ₹2,00,,000 WCDL tranche at a nominal interest rate of 9.50% p.a. for a locked tenure of 60 days. What is the gross interest cost on maturity (calculated on a 365-day basis)? * A) ₹31,232.88 * B) ₹15,616.44 * C) ₹3,123.29 * D) ₹6,246.58

Question 7

Under the RBI IRACP technical review guidelines, what is the maximum permissible delay from the scheduled review date before an unreviewed working capital limit must be classified as a Non-Performing Asset (NPA)? * A) 90 days * B) 120 days * C) 180 days * D) 365 days

Question 8

An underwriter validates a corporate applicant's credit using GSTR-1 and GSTR-3B filings. What is the primary purpose of this real-time validation? * A) To calculate the promoter's personal income tax liabilities. * B) To verify that actual sales velocity supports the declared projected turnover and that invoices are not fabricated. * C) To register a security charge on the GST portal. * D) To exempt the borrower from paying the 18% GST on bank processing fees.

Question 9

Under Section 130 of the Transfer of Property Act, 1882, how does a bank secure the right to recover a borrower's outstanding book debts directly from their corporate customers? * A) Through a mortgage of fixed property. * B) Through an absolute assignment of actionable claims via a Deed of Assignment. * C) Through a summary suit filed in a civil court. * D) Through a pledge of promoter shares.

Question 10

Under the RBI Digital Lending Guidelines, what is the maximum percentage cap on Default Loss Guarantee (DLG) arrangements that a Fintech Lending Service Provider (LSP) can provide to a bank? * A) 2% of the loan portfolio value * B) 5% of the loan portfolio value * C) 10% of the loan portfolio value * D) 15% of the loan portfolio value

Answer Key and Detailed Rationales

Answer 1: B

Rationale:

Total Current Assets (TCA) = ₹12.0 Crores.

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Current Liabilities other than Bank Borrowings (OCL) = ₹4.0 Crores.

Working Capital Gap (WCG) = TCA - OCL = ₹12.0 - ₹4.0 = ₹8.0 Crores.

Required Promoter Contribution (NWC) = 25% of TCA = 25% of ₹12.0 = ₹3.0 Crores.

Maximum Permissible Bank Finance (MPBF) = WCG - NWC = ₹8.0 - ₹3.0 = ₹5.0 Crores. Thus, Option B is correct.

Answer 2: C

Rationale: The RBI's "Loan System for Delivery of Bank Credit" guidelines mandate that for large borrowers with aggregate fund-based working capital limits of ₹150 Crores and above, the "Loan Component" (structured as WCDL) must represent at least **60%** of the total sanctioned limit, with the remaining 40% as a standard CC line. Thus, Option C is correct.

Answer 3: B

Rationale: Under the RBI's IRACP guidelines, after a payment becomes overdue, SMA categorization begins. Since the principal/interest is overdue for 45 days (which falls in the 31 to 60 days range), the account is classified as **SMA-1**. Thus, Option B is correct.

Answer 4: B

Rationale: Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on capital borrowed for the purpose of business is fully tax-deductible, creating an interest tax shield that reduces the borrower's effective cost of debt. Thus, Option B is correct.

Answer 5: B

Rationale: Section 77 of the Companies Act, 2013 requires all corporate borrowers to register any security charge created on their assets with the Registrar of Companies (ROC) within **30 days** of charge creation. Failure to do so renders the security charge void against any liquidator or secured creditor. Thus, Option B is correct.

Answer 6: C

Rationale:

Thus, Option C is correct.

Answer 7: C

Rationale: Under the RBI IRACP directions, a working capital limit must be formally reviewed and renewed on an annual basis. If the limit is not renewed within **180 days** from its scheduled due date, it is classified as a Non-Performing Asset (NPA). Thus, Option C is correct.

Answer 8: B

Rationale: real-time validation of GSTR-1 and GSTR-3B filings allows underwriters to verify that the applicant's actual sales matches their declared projected turnover and that invoices are genuine, eliminating the risk of invoice fabrication. Thus, Option B is correct.

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Answer 9: B

Rationale: Section 130 of the Transfer of Property Act, 1882 governs the assignment of "actionable claims." By executing a Deed of Assignment, the borrower legally assigns their receivables to the bank, granting the bank the absolute right to recover those debts directly from the borrower's debtors. Thus, Option B is correct.

Answer 10: B

Rationale: To protect the banking system from unregulated credit risk transfer, the RBI Digital Lending Guidelines restrict any Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) arrangements provided by fintech LSPs to banks to a strict cap of **5%** of the total loan portfolio value. Thus, Option B is correct.

Credit Dimension	Working Capital Demand Loan (WCDL)	Cash Credit (CC)	Working Capital Term Loan (WCTL)	Overdraft (OD) Facility	Invoice Discounting
Primary Intent	Transaction-specific, seasonal or short-term trade cycle financing.	Ongoing, day-to-day general working capital and operational expenses.	Long-term restructuring of working capital gaps or structural deficits.	General purpose, temporary cash flow mismatch bridge.	Direct monetization of outstanding trade receivables/invoices.
Disbursement Mechanism	Disbursed in structured, discrete tranches against verified invoices or orders.	Revolving limit accessed via cheque book, internet banking, or corporate cards.	Disbursed upfront as a lump-sum amount or in phased term milestones.	Revolving limit accessed up to a drawing power capped against assets.	Disbursed up to a specific percentage (LTV) of verified invoices.
Interest Calculation	Daily reducing balance calculated on the utilized tranche amount.	Daily reducing balance calculated on the end-of-day debit balance.	Amortized interest on outstanding principal, paid monthly as EMI.	Daily reducing balance on utilized limit above credit balance.	Discounting fee or interest deducted upfront or paid on maturity.
Repayment Structure	Bullet repayment of principal and accrued interest on the tranche's specific due date.	Revolving repayments; account must be brought to credit periodically.	Monthly or quarterly EMIs consisting of principal and interest.	Revolving; subject to annual renewal or monthly DP drawing power updates.	Repaid instantly when the corporate anchor pays the outstanding invoice.

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Security/Collateral	First charge on moving inventory and receivables; personal/corporate guarantees.	Hypothecation of all current assets; collateral charge on fixed assets.	Extension of charge on current and fixed assets; high collateral.	Hypothecation of current assets, pledge of FDs, or mortgage of property.	Charge over specific invoices being discounted; escrow ring-fencing.
Standard Tenure	Short-term: 7 to 180 days (typically 30, 60, or 90 days per tranche).	Perpetual revolving line, subject to annual credit review and renewal.	Medium-to-Long term: 1 to 5 years.	Perpetual revolving line, subject to annual credit review and renewal.	Extremely short-term: 30 to 120 days (aligned to invoice usance).
CERSAI Charge Registration	Yes; charge hypothecation registered within 30 days of limit sanction.	Yes; charge hypothecation registered within 30 days of limit sanction.	Yes; mortgage/charge registered within 30 days of loan agreement.	Yes; charge registered depending on collateral type within 30 days.	Yes; factoring/discounting assignment charge registered within 10 days.
Balance Sheet Classification	Short-Term Borrowing (Current Liability), high liquidity score.	Short-Term Borrowing (Current Liability), perpetual debt.	Long-Term or Medium-Term Debt (Non-Current Liability).	Short-Term Borrowing (Current Liability).	Short-Term Trade Borrowing or Off-Balance Sheet (Non-Recourse).

Financial Metric	Pathway A: Cash Credit (CC) Line	Pathway B: Structured WCDL Tranche	Net Strategic Advantage of WCDL
Nominal Borrowing Interest Rate	10.50% p.a.	9.25% p.a.	-1.25% (125 bps savings)
Gross 90-Day Interest Cost	₹2,58,904.11	₹2,28,082.19	₹30,821.92 in Cash Savings
Upfront Tranche Processing Fee	₹0.00	₹25,000.00	-₹25,000.00
Upfront GST on Processing Fee (18%)	₹0.00	₹4,500.00	Net Zero (Recoverable via ITC)
Total Pre-Tax Outlay	₹2,58,904.11	₹2,53,082.19	₹5,821.92 in Cash Savings
Corporate Income Tax Shield (25.17%)	₹65,166.16	₹63,700.79	-₹1,465.37

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Net Post-Tax Financial Cost	₹1,93,737.95	₹1,89,381.40	₹4,356.55 in Net Savings
Effective Annualized Post-Tax Rate	7.86% p.a.	7.68% p.a.	18 bps Annualized Gain

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